Sample solution

Hire purchase agreement: kitchen appliance package

Organisation: Freeport Home & Appliance Centre Ltd
Portfolio element: Legal Work: Hire Purchase Agreement using Word Processing Software
Scenario: legal-2

Model answer · Teacher's Version

How this meets the marking criteria

Criterion	Marks	Where it is met in this solution
Appropriate graphic/logo representing the nature of the company (household appliance retailer) in the letterhead	**1 APP**	Page 1 letterhead: an appliances logo (refrigerator, washing machine and gas flame) beside the company name, address and contact line.
Credentials of the Hirer stated (occupation, length of employment, documents supplied), and the Owner's nature of business stated	**1 APP**	Owner described as "a retailer of household appliances and furniture"; the Hirer is a Maintenance Technician with Taino Beach Seaview Resort Ltd for six (6) years and supplied a job letter, three salary slips and a valid identity document.
Parties clearly identified; agreement number and date shown; clauses numbered with bold headings in uncomplicated language; amounts in figures and words (mailability d, f)	**1 APP**	Title in bold capitals with Agreement No. HP-2025-0147 centred below; dated 6 December 2025; both parties in bold; 10 numbered clauses with bold headings; instalment and late fee in figures and words.
Figures in both tables accurately reproduced and consistent: cash price 3,000.00, deposit 600.00, balance 2,400.00, charge 360.00, instalments 12 × 230.00 = 2,760.00, HP price 3,360.00	**1 IA**	Both tables bordered with bold headings and right-aligned amounts: 1,450.00 + 850.00 + 700.00 = 3,000.00; deposit 20% = 600.00; balance 2,400.00; charge 15% = 360.00; 2,760.00 = 12 × 230.00; HP price 600.00 + 2,760.00 = 3,360.00 (all checked).
Signature spaces (3) correctly allocated: Owner's representative, Hirer and Witness	**1 KC**	Signature section kept together: Owner's representative (Mr. Harold Fergus, Credit Manager), Hirer and Witness, each with a dotted line, name and role.
Total	**5**	**Every criterion is met in full.**

Files in this pack: legal-2 - Sample solution.pdf; hire purchase agreement.docx.

Document pages: the 2 printed A4 pages follow this cover. All figures were checked by calculation (items sum to 3,000.00; HP figures consistent).



FREEPORT HOME & APPLIANCE CENTRE LTD

58 East Mall Drive, Freeport, Grand Bahama
Telephone: +1 (242) 352 3615 · E-mail: credit@freeporthome.bs

HIRE PURCHASE AGREEMENT

Agreement No. HP-2025-0147

THIS AGREEMENT is made on 6 December 2025

BETWEEN **Freeport Home & Appliance Centre Ltd**, a retailer of household appliances and furniture, of 58 East Mall Drive, Freeport, Grand Bahama (the Owner),

AND **Mr. Kenrick Joseph Daniel** of 15 Mahogany Drive, Eight Mile Rock, Grand Bahama (the Hirer). The Hirer has been employed as a Maintenance Technician by Taino Beach Seaview Resort Ltd for six (6) years. He has supplied a job letter, his three most recent salary slips and a valid identity document.

The Owner agrees to let and the Hirer agrees to hire the goods listed below on the following terms:

1. The goods:

Item	Serial number	Cash price (B$)
Refrigerator, 18 cu. ft., stainless steel	RF18-55021	1,450.00
Washing machine, 15 kg, front-loading	WM15-88213	850.00
Gas stove, 4-burner with oven	GS4-30177	700.00
Total cash price		**3,000.00**

2. Financial terms:

Details	Amount (B$)
Total cash price	3,000.00
Less deposit paid on signing (20%)	600.00
Balance	2,400.00
Add hire purchase charge (15% of balance)	360.00
Balance payable by instalments	2,760.00
Twelve (12) monthly instalments of	230.00
Total hire purchase price (deposit + instalments)	**3,360.00**

3. Instalments: The first instalment of B$230.00 (two hundred and thirty Bahamian dollars) is due on 6 January 2026. Later instalments are due on the 6th day of each following month. The final instalment is due on 6 December 2026.

4. **Ownership**: The goods remain the property of the Owner until all instalments have been paid. When the final instalment is paid, ownership passes to the Hirer.

5. **Care of the goods**: The Hirer shall keep the goods at the address above in good condition. He shall not sell, lend, pawn or move them without the Owner's written consent.

6. **Insurance**: The Hirer shall insure the goods against fire, theft and storm damage for their full cash price until the agreement ends.

7. **Late payment**: A late fee of B$15.00 (fifteen Bahamian dollars) will be charged for any instalment paid more than seven (7) days after its due date.

8. **Default**: If two (2) instalments in a row remain unpaid, the Owner may, after giving fourteen (14) days' written notice, end this agreement and take back the goods.

9. **Early settlement**: The Hirer may pay the full balance at any time and will receive a rebate of the unearned part of the hire purchase charge.

10. **Warranty**: The goods carry the manufacturer's warranty of one (1) year from the date of delivery.

SIGNED on 6 December 2025

.....
Mr. Harold Fergus
Credit Manager, for and on behalf of Freeport Home & Appliance Centre Ltd (Owner)

.....
Kenrick Joseph Daniel
Hirer

.....
Witness: Ms. Simone Pinder, Sales Associate